

ECONOMY TOPIC 6

NPAs • BASEL • RESOLUTION • FINANCIAL INCLUSION

Recognition -> loss absorption -> resolution -> responsible access

1

1 NPA RECOGNITION

- Term loan >90 days overdue
- CC/OD out of order for 90 days
- Bills >90 days; agriculture crop seasons
- Overdue starts on due date; tests differ

2

2 CLASSIFICATION

- Standard -> Substandard <=12 months
- Doubtful after 12 months substandard
- Loss: identified uncollectible
- Borrower-wise; security does not defer

3

3 LOSS ABSORPTION

- GNPA -> provisions/adjustments -> NNPA
- Provision charges profit
- Technical write-off: recovery continues
- Waiver relinquishes claim

4

4 STRESS + RESTRUCTURING

- Cash-flow shock -> default -> capital pressure
- ICR is indicator, not NPA test
- Viable restructure != evergreening
- Forbearance must be temporary

5

5 BASEL CAPITAL

- Pillars: minimum, review, disclosure
- CRAR = capital / RWA
- CET1 -> AT1 -> Tier 2
- RBI 01-04-2025: 5.5 | 7 | 9 + CCB

6

6 LEVERAGE + LIQUIDITY

- Leverage: 4% D-SIB; 3.5% others
- LCR $\geq 100\%$ over 30 days
- NSFR $\geq 100\%$ over one year
- Solvency != liquidity

7

7 SUPERVISION

- SMA-0/1/2 -> early warning
- AQR reveals; CRILC shares data
- PCA: capital + NNPA + leverage
- PCA is not liquidation

8

8 RBI RESOLUTION

- 30-day Review Period
- ICA 75% value + 60% number
- ICE Rs100cr; two at Rs500cr; RP4+
- Delay adds provisions

9

9 RECOVERY

- SARFAESI 60-day notice -> security
- RDB Act -> DRT/DRAT
- ARC acquires; SR tracks asset pool
- Recovery route depends on security

10

10 IBC

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10 IBC

- NCLT admission -> moratorium -> IP
- CoC plan >=66% -> NCLT approval
- No plan -> liquidation/waterfall
- IBBI regulates ecosystem

11

11 NARCL + CONDUCT

- NARCL acquires; IDRCL resolves
- 15% cash + 85% Security Receipts
- NPA != wilful default != fraud
- Due process protects classification

12

12 RESPONSIBLE INCLUSION

- PMJDY + BSBD + BC
- PSL + MUDRA + SHG/JLG
- FI-Index: Access, Usage, Quality
- Recognise -> absorb -> resolve -> include